



Manage stock purchases and inventory

D1.HML.CL10.09

D2.HGE.CL7.06

D1.HGA.CL6.09

D1.HRM.CL9.12

D2.TGA.CL6.04

D2.TRM.CL9.08

Assessor Manual



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Assessor Manual



Specialist centre
for foods, tourism
& hospitality



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Competency Based Assessment (CBA) – An Introduction for Assessors

Assessment is the process of identifying a participant's current knowledge, skills and attitudes sets against all elements of competency within a unit of competency.

Suggested Assessment Methods

For each unit of competency a number of assessment tools have been identified including:

- Work Projects
- Oral Questions
- Written Questions
- Third Party Statements
- Observation Checklists.

Instructions and Evidence Recording Sheets have been identified in this Assessment Manual for use by Assessors.

Alternative Assessment Methods

Whilst the above mentioned assessment methods are suggested assessment methods, the assessor may use an alternate method of assessment taking into account:

- a) The nature of the unit
- b) The strengths of participants
- c) The number of participants in the class
- d) Time required to complete assessments
- e) Time dedicated to assessment
- f) Equipment and resources required.

Alternate assessment methods include:

- Practical demonstrations
- Practical demonstrations in simulated work conditions
- Problem solving
- Portfolios of evidence
- Critical incident reports
- Journals
- Oral presentations
- Interviews
- Videos
- Visuals/slides/audiotapes

- Case studies
- Log books
- Projects and Role plays
- Group projects
- Recognition of Prior Learning.

Whilst there is no specific instruction or evidence collection documents for all the alternative assessment methods, assessors can record competency in the 'Other' section within the 'Competency Recording Sheet'.

Selection of Assessment Methods

Each assessor will determine the combination of Assessment Methods to be used to determine Competency for each Competency Unit on a student by student basis.

'Sufficient' evidence to support the 'Pass Competent'/'Not Yet Competent' decision must be captured.

In practice this means a minimum of 2 – 3 Assessment Methods for each candidate for each Competency Element is suggested.

At least one method should provide evidence of practical demonstration of competence.

The following assessment methods deemed to provide evidence of practical demonstration of competence include:

- Practical Work Projects
- Third Party Statement
- Observation Checklist.

Assessing Competency

Competency based assessment does not award grades, but simply identifies if the participant has the knowledge, skills and attitudes to undertake the required task to the specified standard.

Therefore, when assessing competency, an assessor has two possible results that can be awarded:

- 'Pass Competent' (PC)
- 'Not Yet Competent' (NYC).

Pass Competent (PC)

If the participant is able to successfully answer or demonstrate what is required, to the expected standards of the performance criteria, they will be deemed as 'Pass Competent' (PC).

The assessor will award a 'Pass Competent' (PC) if they feel the participant has the necessary knowledge, skills and attitudes in all assessment tasks for a unit.

Not Yet Competent' (NYC)

If the participant is unable to answer or demonstrate competency to the desired standard, they will be deemed to be 'Not Yet Competent' (NYC).

This does not mean the participant will need to complete all the assessment tasks again. The focus will be on the specific assessment tasks that were not performed to the expected standards.

The participant may be required to:

- a) Undertake further training or instruction
- b) Undertake the assessment task again until they are deemed to be 'Pass Competent'.

Regional Qualifications Framework and Skills Recognition System

The 'Regional Qualifications Framework and Skills Recognition System', also known as the 'RQFSRS' is the overriding educational framework for the ASEAN region.

The purpose of this framework is to provide:

- A standardised teaching and assessment framework
- Mutual recognition of participant achievement across the ASEAN region. This includes achievement in individual Units of Competency or qualifications as a whole.

The role of the 'RQFSRS' is to provide, ensure and maintain 'quality assurance' across all countries and educational providers across the ASEAN region.

Recognition of Prior Learning (RPL)

Recognition of Prior Learning is the process that gives current industry professionals who do not have a formal qualification, the opportunity to benchmark their extensive skills and experience against the standards set out in each unit of competency/subject.

This process is a learning and assessment pathway which encompasses:

- Recognition of Current Competencies (RCC)
- Skills auditing
- Gap analysis and training
- Credit transfer.

Code of Practice for Assessors

This Code of Practice provides:

- Assessors with direction on the standard of practice expected of them
- Candidates with assurance of the standards of practice expected of assessors
- Employers with assurance of the standards maintained in the conduct of assessment.

The Code detailed below is based on the International Code of Ethics and Practice (The National Council for Measurement in Education [NCME]):

- The differing needs and requirements of the person being assessed, the local enterprise and/or industry are identified and handled with sensitivity
- Potential forms of conflict of interest in the assessment process and/or outcomes are identified and appropriate referrals are made, if necessary
- All forms of harassment are avoided throughout the planning, conducting, reviewing and reporting of the assessment outcomes

- The rights of the candidate are protected during and after the assessment
- Personal and interpersonal factors that are not relevant to the assessment of competency must not influence the assessment outcomes
- The candidate is made aware of rights and process of appeal
- Evidence that is gathered during the assessment is verified for validity, reliability, authenticity, sufficiency and currency
- Assessment decisions are based on available evidence that can be produced and verified by another assessor
- Assessments are conducted within the boundaries of the assessment system policies and procedures
- Formal agreement is obtained from both the candidate and the assessor that the assessment was carried out in accordance with agreed procedures
- The candidate is informed of all assessment reporting processes prior to the assessment
- The candidate is informed of all known potential consequences of decisions arising from an assessment, prior to the assessment
- Confidentiality is maintained regarding assessment results
- The assessment results are used consistently with the purposes explained to the candidate
- Opportunities are created for technical assistance in planning, conducting and reviewing assessment procedures and outcomes.

Instructions and Checklist for Assessors

Instructions

General instructions for the assessment:

- Assessment should be conducted at a scheduled time that has been notified to the candidate
- Facilitators must ensure participants are made aware of the need to complete assessments and attend assessment sessions
- If a participant is unable to attend a scheduled session, they must make arrangements with the Assessor to undertake the assessment at an alternative time
- At the end of the assessment the Assessor must give feedback and advise the participant on their PC/NYC status
- Complete the relevant documentation and submit to the appropriate department.

Preparation

- Gain familiarity with the Unit of Competency, Elements of Competency and the Performance Criteria expected
- Study details assessment documentation and requirements
- Brief candidate regarding all assessment criteria and requirements.

Briefing Checklist

- Begin the assessment by implementing the following checklist and then invite the candidate to proceed with assessment.

Checklist for Assessors

Prior to the assessment I have:	Tick (✓)	Remarks
Ensured the candidate is informed about the venue and schedule of assessment.		
Received current copies of the performance criteria to be assessed, assessment plan, evidence gathering plan, assessment checklist, appeal form and the company's standard operating procedures (SOP).		
Reviewed the performance criteria and evidence plan to ensure I clearly understood the instructions and the requirements of the assessment process.		
Identified and accommodated any special needs of the candidate.		
Checked the set-up and resources for the assessment.		
During the assessment I have:		
Introduced myself and confirmed identities of candidates.		
Put candidates at ease by being friendly and helpful.		
Explained to candidates the purpose, context and benefits of the assessment.		
Ensured candidates understood the assessment process and all attendant procedures.		
Provided candidates with an overview of performance criteria to be assessed.		
Explained the results reporting procedure.		
Encouraged candidates to seek clarifications if in doubt.		
Asked candidates for feedback on the assessment.		
Explained legal, safety and ethical issues, if applicable.		
After the assessment I have:		
Ensured candidate is given constructive feedback.		
Completed and signed the assessment record.		
Thanked candidate for participating in the assessment.		

Instructions for Recording Competency

Specifications for Recording Competency

The following specifications apply to the preparation of Evidence Gathering Plans:

- A Competency Recording Sheet must be prepared for each candidate to ensure and demonstrate all Performance Criteria and Competency Elements are appropriately assessed. This Sheet indicates how the Assessor will gather evidence during their assessment of each candidate
- This Competency Recording Sheet is located at the end of the Assessment Plan
- It is the overriding document to record competency
- The Assessor may vary the Competency Recording Sheet to accommodate practical and individual candidate and/or workplace needs
- Assessor must place a tick (✓) in the 'Assessment Method' columns to identify the methods of assessment to be used for each candidate
- Multiple Competency Elements/Performance Criteria may be assessed at the one time, where appropriate
- The assessor and participant should sign and date the Competency Recording Sheet, when all forms of evidence and assessment have been completed
- The assessor may provide and feedback or clarify questions which the participant may have in regards to the assessment grade or findings
- All documents used to capture evidence must be retained, and attached to the Competency Recording Sheet for each candidate for each Competency Unit.

Instructions for Different Assessment Methods

Specifications for Work Project Assessment

These guidelines concern the use of work projects.

The work projects identified in the Training Manuals involve a range of tasks, to be performed at the discretion of the Assessor.

Work project tasks can be completed through any form of assessment as identified in the Trainer and Trainee Manuals and stated at the start of this section.

Assessors should follow these guidelines:

- Review the Work Projects at the end of each 'Element of Competency' in the Trainee Manual to ensure you understand the content and what is expected
- Prepare sufficient resources for the completion of work activities including:
 - Time – whether in scheduled delivery hours or suggested time participants to spend outside of class hours
 - Resources – this may involve technical equipment, computer, internet access, stationery and other supplementary materials and documents
- Prepare assessment location (if done in class) making it conducive to assessment
- Explain Work Projects assessment to candidate, at the start of each Element of Competency. This ensures that participants are aware of what is expected and can collate information as delivery takes place

- Assessors can use the following phrase as a guide (where an 'X' is identified, please input appropriate information):
 "At the end of each Element of Competency there are Work Projects which must be completed. These projects require different tasks that must be completed.
 These work projects are part of the formal assessment for the unit of competency titled X:
- You are required to complete these activities:
 - Using the 'X' method of assessment*
 - At 'X' location*
 - You will have 'X time period' for this assessment*
 - You are required to compile information in a format that you feel is appropriate to the assessment
 - Do you have any questions about this assessment?"
- Commence Work Project assessment:
 - The assessor may give time for participants to review the questions at this time to ensure they understand the nature of the questions. The assessor may need to clarify questions
 - Participants complete work projects in the most appropriate format
 - Participants must submit Work Project evidence to the assessor before the scheduled due date
- Assessor must assess the participant's evidence against the competency standards specified in each Element of Competency and their own understanding. The assessor can determine if the participant has provided evidence to a 'competent' standard
- Transcribe results/details to Competency Recording Sheet
- Forward/file assessment record.

Specifications for Oral Question Assessment

These guidelines concern the use of oral questioning.

Assessors should follow these guidelines.

- Prepare Assessment Record for Oral Questioning. One record for each candidate:
 - Enter Student name
 - Enter Assessor name
 - Enter Location
- Familiarise self with Questions to be asked
- Prepare assessment location (table and chairs) making it conducive to assessment
- Explain Oral Questioning assessment to candidate, using the following phrase as a guide (where a 'X' is identified, please input appropriate information):
"These oral questions are part of the formal assessment for the unit of competency titled X.

There are X questions and you are required to answer all of them to the best of your ability and I will record whether or not you have answered correctly.

We have 60 minutes for this assessment.

- I will give you feedback at the end of the assessment
- Do you have any questions about this assessment?”
- Commence Oral Questioning assessment:
 - Complete Assessment Record for the Oral Questioning by:
 - a) Ticking PC or NYC, as appropriate
 - b) Entering ‘Remarks’ as required
 - c) Completing Oral Questioning within 60 minutes
- Complete Oral Questioning and provide feedback to candidate
- Transcribe results/details to Competency Recording Sheet
- Forward/file assessment record.

Specifications for Written Question Assessment

These guidelines concern the use of written questioning.

Assessors should follow these guidelines:

- Familiarise self with Questions and Answers provided
- Print and distribute copies of ‘Written Questions’ for participants. Ideally this should take place with adequate time for participants to answer all questions before the expected due date
- Explain Written Questioning assessment to candidate, using the following phrase as a guide (where a ‘X’ is identified, please input appropriate information):

“These written questions are part of the formal assessment for the unit of competency titled X.

There are X questions and you are required to answer all of them to the best of your ability.

You may refer to your subject materials, however where possible try to utilise your existing knowledge when answering questions.

Where you are unsure of questions, please ask the Assessor for further instruction. This may be answering the question orally or asking the assessor to redefine the question.

We have X time for this assessment:

- The due date for completion of this assessment is X
- On this date you must forward the completed questions to the assessor by X time on the date of X
- Do you have any questions about this assessment?”
- The assessor may give time for participants to review the questions at this time to ensure they understand the nature of the questions. The assessor may need to clarify questions
- Participants may record written answers (where possible)
- Participants must submit the written answers to the assessor before the scheduled due date

- Assessor must assess the participant's written answers against the model answers provided as a guide, or their own understanding. The assessor can determine if the participant has answered the questions to a 'competent' standard
- Transcribe results/details to Competency Recording Sheet
- Forward/file assessment record.

Specifications for Observation Checklist

These specifications apply to the use of the Observation Checklist in determining competency for candidates.

Only an approved assessor is authorised to complete the Observation Checklist.

The assessor is required to observe the participant, ideally in a simulated environment or their practical workplace setting and record their performance (or otherwise) of the competencies listed on the Observation Checklist for the Competency Unit.

To complete the Observation Checklist the Assessor must:

- Insert name of candidate
- Insert assessor name
- Insert identify of location where observations are being undertaken
- Insert date/s of observations – may be single date or multiple dates
- Place a tick in either the 'Yes' or 'No' box for each listed Performance Criteria to indicate the candidate has demonstrated/not demonstrated that skill
- Provide written (and verbal) feedback to candidate – as/if appropriate
- Sign and date the form
- Present form to candidate for them to sign and date
- Transcribe results/details to Competency Recording Sheet for candidate
- Forward/file Observation Checklist.

This source of evidence combines with other forms of assessment to assist in determining the 'Pass Competent' or 'Not Yet Competent' decision for the participant.

Specifications for Third Party Statement

These specifications relate to the use of a relevant workplace person to assist in determining competency for candidates.

The Third Party Statement is to be supplied by the assessor to a person in the workplace who supervises and/or works closely with the participant.

This may be their Supervisor, the venue manager, the Department Manager or similar.

The Third Party Statement asks the Supervisor to record what they believe to be the competencies of the participant based on their workplace experience of the participant. This experience may be gained through observation of their workplace performance, feedback from others, inspection of candidate's work etc.

A meeting must take place between the Assessor and the Third Party to explain and demonstrate the use of the Third Party Statement.

To complete the Third Party Verification Statement the Assessor must:

- Insert candidate name
- Insert name and contact details of the Third Party
- Tick the box to indicate the relationship of the Third Party to the candidate
- Present the partially completed form to the Third Party for them to finalise
- Collect the completed form from the Third Party
- Transcribe results/details to Competency Recording Sheet for candidate
- Forward/file Third Party Statement.

The Third Party must:

- Record their belief regarding candidate ability/competency as either:
 - Pass Competent = Yes
 - Not Yet Competent = No
 - Unsure about whether candidate is competent or not = Not Sure
- Meet briefly with the assessor to discuss and/or clarify the form.

This source of evidence combines with other forms of assessment to assist in determining the 'Pass Competent' or 'Not Yet Competent' decision for the candidate.

A separate Third Party Statement is required for each Competency Unit undertaken by the candidate.

Competency standard

UNIT TITLE: MANAGE STOCK PURCHASES AND INVENTORY					NOMINAL HOURS: 50	
UNIT NUMBER: D1.HML.CL10.09 D2.HGE.CL7.06 D1.HGA.CL6.09 D1.HRM.CL9.12 D2.TGA.CL6.04 D2.TRM.CL9.08						
UNIT DESCRIPTOR: This unit deals with skills and knowledge required to develop and operate an effective stock control system including the purchasing, receipt, storage and internal distribution and management of stock within the hotel and travel industries workplace context						
ELEMENTS AND PERFORMANCE CRITERIA			UNIT VARIABLE AND ASSESSMENT GUIDE			
Element 1: Identify the need for stock control and management 1.1 Identify the <i>internal requirements</i> for the stock control and management system 1.2 Describe the <i>stock items</i> to be covered and controlled by the stock control and management system 1.3 Identify <i>personnel</i> with stock control and management duties 1.4 Describe the steps in the <i>stock control cycle</i> 1.5 Identify and describe the role of <i>documentation</i> within the stock control and management process 1.6 Develop <i>product knowledge</i> in relation to stock items that will be used			Unit Variables The Unit Variables provide advice to interpret the scope and context of this unit of competence, allowing for differences between enterprises and workplaces. It relates to the unit as a whole and facilitates holistic assessment. This unit applies to all industry sectors that are involved in stock purchase and inventory within the labour divisions of the hotel and travel industries and may include: 1. Front Office 2. Housekeeping 3. Food and Beverage Service 4. Food Production 5. Travel Agencies 6. Tour Operation <i>Internal requirements</i> may be related to: • Stock security • Physical inventory levels			

Element 2: Develop and operate a purchasing and/or supply system 2.1 Identify and differentiate between potential suppliers 2.2 <i>Select suppliers</i> based on nominated internal requirements 2.3 Determine <i>purchasing and supply requirements</i> that will guide demand 2.4 Determine <i>terms of purchase</i> that may apply to the purchase of stock items 2.5 <i>Implement ordering system</i> using identified suppliers Element 3: Develop and implement stock receival procedures 3.1 <i>Monitor in-coming deliveries</i> and stock 3.2 <i>Inspect incoming stock</i> 3.3 Return unwanted or damaged stock 3.4 Reject unsuitable stock 3.5 Complete appropriate <i>delivery documentation</i> Element 4: Develop and implement stock storage systems 4.1 Create appropriate <i>storage conditions</i> for all stock that needs to be stored 4.2 Store stock according to required storage conditions	• Monetary value of inventory • Timing and delivery requirements • Continuity of supply • Cost and quality • Choice including options relating to different quality items at different price points • Back-up service • Terms of trade, including times for payment of accounts, credit periods, interest rates, fees and charges applicable • Factoring in supplier lead times. <i>Stock items</i> may include: • Food and beverages including fresh, frozen and convenience foods; alcoholic and non-alcoholic drinks • Linen and staff uniforms • Housekeeping supplies including cleaning equipment and chemicals • Stationery including all consumable office supplies • Merchandise, including all items offered for sale in internal sales outlets • Promotional material including brochures, flyers, booklets, posters and catalogues • General store provisions. <i>Personnel</i> involved in stock control duties may include: • Purchasing officer • Store man • Managers and owners • Department heads.
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4.3 Enter stock data into the internal stock system 4.4 Secure stock and protect it from damage, deterioration and unauthorised access Element 5: Develop and implement stock issuing systems 5.1 Identify the basis on which stock will be issued or distributed internally 5.2 Develop <i>documentation to support the issuing of stock</i> 5.3 Manage <i>stock distribution within the premises</i> 5.4 Track and record the movement of stock within the enterprise Element 6: Develop and implement stock management systems 6.1 Create and implement <i>stock taking systems</i> 6.2 Create and implement <i>stock valuation systems</i> 6.3 Create and implement <i>stock reporting systems</i> 6.4 Make recommendations to improve the operation of the existing stock system	<i>Stock control cycle</i> may relate to: • Purchasing • Receival • Storing • Issuing • Production • Service • Sales. <i>Documentation</i> may include: • Internal documentation, such as purchase orders, bin cards, requisitions, internal stock transfers, stock take sheets, ledgers • External documentation, such as delivery dockets, invoices, statements, credit notes. <i>Product knowledge</i> may include: • Visiting suppliers and markets • Testing and tasting food items • Researching information provided by growers, manufacturers and suppliers • Obtaining product samples • Attending industry events, seminars, launches and conferences. <i>Select suppliers</i> should address: • Ability of supplier to meet nominated supply specifications, including brands, quantities, timing, price • Product availability and continuity of supply
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	• Delivery services available, including timing, safe food handling practices, deliveries to meet emergency situations that arise • Minimum and maximum orders quantities imposed by the supplier • Competitive pricing details, including reference to quantity and other discounts, special deals, rebates and volume incentives • Financial terms applicable to credit and payment • References available from other customers attesting to their level of satisfaction with the suppliers being considered • Trading hours and delivery times of suppliers • After hours services available, including ordering facilities, emergency deliveries. <i>Purchasing and supply requirements may include:</i> • Development of purchasing specifications, including details regarding product name, general and detailed item descriptions, identification of final product use, storage procedures, required labelling, special instructions and/or requirements for the item • Conducting yield testing using methods appropriate to individual stock types • Development of bidding and tendering process, where applicable • Price control and price mapping • Product cycle details • Internal demand, including seasonal and event influences; reference to historical trade and product usage data and stock figures • Establishment of economic order quantities • Determination of minimum and maximum stock levels. <i>Terms of purchase may refer to:</i> • Competitive or open market buying, which will vary between items • Obligations imposed by buying groups, franchise operations and head office imperatives
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- Contract buying, sealed bid buying, cost plus buying, one stop buying, cooperative buying, negotiated buying
- Rationalisation of suppliers to minimise cost and time spent on administration and account checking and payment
- Differentiation between wholesale and retail buying
- Comparison of centralised and decentralised buying.

Implementation ordering system, will include placement of orders, which may include:

- Standing orders
- On-line ordering
- Purchase orders
- Telephone orders
- Face-to-face lodgement of orders with sales staff/representatives.

Monitor in-coming deliveries may relate to:

- Ensuring stock is intended for the premises
- Checking physical stock against items ordered
- Checking physical stock against accompanying delivery documentation
- Checking pricing details
- Checking stock against product specifications.

Inspecting incoming stock should include:

- Checking brand names, container/package size, vintages, colour, type
- Verifying quality and quantity of items
- Ensuring food safety, including freedom from pests, correct temperatures, integrity of packaging
- Ensuring stock is not damaged
- Complying with the requirements of the food safety plan/program for the establishment.

	<i>Delivery documentation</i> may relate to: • Signing documentation • Documenting returns and rejection of stock • Following up short-deliveries with internal department and suppliers, including making decisions about re-ordering stock to ensure required stock levels are maintained. <i>Storage conditions</i> must include: • Storage conditions for fresh, refrigerated, frozen and dry goods • Storage conditions for alcoholic and non-alcoholic beverages • Storage conditions for other items, including linen, uniforms, chemicals, stationery, equipment, merchandise and promotional materials • Complying with the requirements of the food safety plan/program for the establishment • Conditions and processes to minimise wastage, theft and loss • Stock rotation principles. <i>Enter stock data</i> may relate to: • Use and updating of bin cards, stock sheets and goods inwards documentation • Inputting stock received data into the electronic stock control system. <i>Documentation to support the issuing of stock</i> may include: • Requisitions sheets • Internal transfer sheets. <i>Stock distribution within the premises</i> must include: • Physical supply of stock to departments within the property • Verifying stock ordered against stock supplied internally • Ensuring the security of stock supplied
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- Use of the imprest stock system.

Track and record the movement of stock may relate to:

- Completing internal manual paperwork to reflect stock that has been issued
- Updating electronic systems
- Ensuring stock type and quantity are accurately entered
- Ensuring records reflect department to which stock has been provided.

Stock taking systems may include:

- Undertaking physical stock takes
- Development and completion of stock take sheets
- Training of staff in stock taking practices
- Extension of stock take sheets.

Stock valuation systems may include:

- Development of stock figures to identify stock performance, including identification of fast and slow moving lines, stock losses and performance indicators
- Calculation of stock-on-hand figures
- Comparison of theoretical stock levels against actual stock levels
- Investigation of stock irregularities and variances.

Stock reporting systems may relate to:

- Preparation and production of required internal stock reports, including development of on-going figures, identification and explanation of trends and variances
- Training of staff in waste management practices
- Revision of existing systems and practices to optimise stock usage.

Assessment Guide

The following skills and knowledge must be assessed as part of this unit:

	• Knowledge of products and understanding of the final use of all products and items ordered • Knowledge of economic order quantities for all items • Ability to source available supply and purchasing options • Knowledge of supplier, industry and market knowledge relating to supply and ordering of stock • Knowledge of sources of information regarding products and suppliers • Knowledge of enterprise policies and procedures in regard to ordering, payment, storing, stock management and where applicable, safe food handling • Ability to order, receive, store and issue a nominated range of stock items • Ability to write product specifications • Ability to undertake yield testing. Linkages To Other Units • Access and retrieve computer-based data • Apply standard safety procedures for handling foodstuffs • Communicate effectively on the telephone • Comply with workplace hygiene procedures • Perform clerical procedures • Receive and store kitchen supplies and food stock • Maintain strategies for safe storage of prepared foods • Develop and maintain food and beverage product knowledge • Plan and establish systems and procedures • Maintain a paper-based filing and retrieval system • Use common business tools and technology
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- Monitor catering revenue and costs
- Receive and store stock
- Produce documents on a computer
- Manage and control operational costs.

Critical Aspects of Assessment

Evidence of the following is essential:

- Ability to develop stock purchasing and control/management systems
- Ability to effectively implement stock control/management procedures, including staff training, preparation and completion of documentation, stock taking procedures
- Product and stock knowledge.

Context of Assessment

This unit may be assessed on or off the job

- Assessment should include practical demonstration either in the workplace or through a simulation activity, supported by a range of methods to assess underpinning knowledge
- Assessment must relate to the individual's work area or area of responsibility
- Actual or simulated workplace application of stock control and management protocols including stock ordering, receipt and inspection, storage, issuing and maintenance of optimum stock levels.

Resource Implications

Training and assessment to include access to a real or simulated workplace; and access to workplace standards, procedures, policies, guidelines, tools and equipment.

Assessment Methods

The following methods may be used to assess competency for this unit:

- Case studies
- Observation of practical candidate performance

	• Oral and written questions • Portfolio evidence • Problem solving • Role plays • Third party reports completed by a supervisor • Project and assignment work. Key Competencies in this Unit <i>Level 1 = competence to undertake tasks effectively</i> <i>Level 2 = competence to manage tasks</i> <i>Level 3 = competence to use concepts for evaluating</i>		
	Key Competencies	Level	Examples
	Collecting, organising and analysing information	3	Compile information about products and suppliers; undertake yield testing and prepare purchase specifications
	Communicating ideas and information	3	Liaise with internal staff to identify supply needs; negotiate with suppliers
	Planning and organising activities	2	Arrange deliveries, standing orders, internal supply and storage
	Working with others and in teams	3	Collaborate with internal staff to issue stock as required and in the quantities needed
	Using mathematical ideas and techniques	3	Calculate order quantities and stock figures

	Solving problems	2	Follow-up of credits and short-deliveries/non-supply
	Using technology	2	Enter data into stock control systems; manipulate stock data to generate stock reports and statistics; use technology to place orders

Oral questions

Student name	
Assessor name	
Location/venue	
Unit of competency	Manage stock purchases and inventory D1.HML.CL10.09 D2.HGE.CL7.06 D1.HGA.CL6.09 D1.HRM.CL9.12 D2.TGA.CL6.04 D2.TRM.CL9.08
Instructions	1. Ask student questions from the attached list to confirm knowledge, as necessary 2. Place tick in boxes to reflect student achievement (Pass Competent 'PC' or Not Yet Competent 'NYC') 3. Write short-form student answer in the space provided for each question.

Questions	Response	
	PC	NYC
1. What is meant by 'terms of trade'?	☐	☐
2. List five examples of different types of inventory.	☐	☐

Questions	Response	
	PC	NYC
3. Identify which personnel may be involved in stock control duties.	☐	☐
4. What are the seven component parts of the full control cycle for which control procedures should be produced?	☐	☐
5. What is the difference between a delivery docket, invoice and statement?	☐	☐
6. Identify some sources you could use to improve your product knowledge.	☐	☐

Questions	Response	
	PC	NYC
7. When dealing with suppliers; what is the difference between a wholesaler and a retailer?	☐	☐
8. What is a 'vendor file'?	☐	☐
9. Product specifications would take into account what key points?	☐	☐
10. Explain contract buying.	☐	☐

Questions	Response	
	PC	NYC
11. Ordering systems include...	☐	☐
12. What factors might affect orders that are placed with suppliers?	☐	☐
13. What factors can be included when inspecting stock for quality?	☐	☐
14. What checks need to be made when checking for unwanted or damaged stock?	☐	☐

Questions	Response	
	PC	NYC
15. What may cause you to reject stock as being unsuitable?	☐	☐
16. In relation to delivery documentation, what is a variation and why must it be recorded?	☐	☐
17. What points should you consider regarding generic storage requirements?	☐	☐
18. Stock items may be stored in a 'bin'. What does this mean and provide examples?	☐	☐

Questions	Response	
	PC	NYC
19. What data needs to be updated in the computerised internal stock system?	☐	☐
20. There are a number of key points to consider for securing stock between departments and internally. Identify some.	☐	☐
21. What methods are used for transferring stock between departments and internally?	☐	☐
22. What details does the requisition identify?	☐	☐

Questions	Response	
	PC	NYC
23. The 'Par Stock System' is also known as the 'Imprest System'. How does this system work?	☐	☐
24. What are the basic guidelines for inventory tracking?	☐	☐
25. Why is there a need for stock control?	☐	☐
26. Explain the purpose of calculating 'stock on hand' figures.	☐	☐

Questions	Response	
	PC	NYC
27. How often should there be revision of existing systems and practices to optimise stock usage?	☐	☐
28. It may be possible to fine-tune the present stock control system (rather than replacing it). What options could you consider if you were to do this?	☐	☐

Written questions

Manage stock purchases and inventory

D1.HML.CL10.09

D2.HGE.CL7.06

D1.HGA.CL6.09

D1.HRM.CL9.12

D2.TGA.CL6.04

D2.TRM.CL9.08

Student Name: _____

Answer all the following questions and submit to your Trainer.

1. List three documents which form the basis of a paper-based inventory system.

2. Identify common categories that inventory can be broken down into.

3. What management duties might the Purchasing officer have responsibility for?

4. Data should be entered into a stock control system with speed and accuracy and in a timely fashion. Within what timeframe should this be completed?

5. What is meant by issuing 'new for old' with regard to stock control?

6. What is product knowledge? Give an example.

7. What are factors to consider when determining suppliers?

8. What is the purpose of a 'vendor file'?

9. What is an 'economic order quantity', and how might you determine what it is for a given stock item?

10. What is 'open market buying'?

11. Identify the various ordering systems used to place orders with suppliers.

12. When receiving deliveries the term 'outstanding' may be used. What does this refer to?

13. What QA tests may be conducted on received goods?

14. What should be the procedure for any chemicals that come in damaged or not labelled?

15. Why is it standard procedure that all goods be checked?

16. What does your signature on a delivery docket verify?

17. What is a 'broken carton' and why do many businesses refuse to allow them in their stores areas?

18. What are examples of 'storage units'?

19. When updating data what details would need to be entered?

20. What are some ways to increase stock security?

21. An internal requisition may also be known as what?

22. What document is required to be completed for stock to be issued?

23. Why are Par Stock levels established?

24. Why is there a need to track inventory?

25. During a physical stock-take, one person 'calls' and one person 'writes': explain.

26. Who might need to be notified about fast and slow-moving items?

27. What are common causes of problems relating to stock waste management?

28. In what ways could you 'fine tune' the stock control system?

Answers to written questions

Manage stock purchases and inventory

D1.HML.CL10.09

D2.HGE.CL7.06

D1.HGA.CL6.09

D1.HRM.CL9.12

D2.TGA.CL6.04

D2.TRM.CL9.08

The following are model answers only – Trainers/Assessors must use discretion when determining whether or not an answer provided by a Student is acceptable or not.

1. List three documents which form the basis of a paper-based inventory system.

Properties that operate a paper-based stock control system may use the following documents as the basis for their system:

- Purchase orders
- Bin cards
- Requisition forms
- Internal transfer sheets
- Sales dockets and cash register audit rolls
- Cheques.

In addition to these *internally*-generated documents, the paper-based system also uses *externally*-generated documents such as Delivery dockets, Invoices, Statements and Credit notes.

2. Identify common categories that inventory can be broken down into.

- Fresh Food
- Frozen Food
- Drinks
- Alcohol
- Linen and Uniforms
- Stationery
- Cleaning Agents and Chemicals
- Merchandise
- Fuel
- Equipment
- General Stores.

3. What management duties might the Purchasing officer have responsibility for?

They may supervise staff, are responsible for data entry on inventory, handle communications with suppliers and monitor and report on expenditure within the Stores or Procurement department.

4. Data should be entered into a stock control system with speed and accuracy and in a timely fashion. Within what timeframe should this be completed?

All information that has to be entered into a stock control system must be entered in a timely fashion.

In practice this should be seen as 'within 24 hours' of the event happening that gave rise to the information being generated.

5. What is meant by issuing 'new for old' with regard to stock control?

Some properties use a simple system as (part of) their stock control system where they require staff to supply an old item, or a used item, in exchange for a replacement item.

For example, using this system a bar would need to hand over an empty bottle of gin if they wanted a full one.

6. What is product knowledge? Give an example.

Knowledge about the products and services you offer and the facilities available is called 'product knowledge', and you can never have too much of it.

7. What are factors to consider when determining suppliers?

If they are happy with their range of products, quality, prices and service (that is, delivery times, accuracy of orders, responses to queries and the extent to which they cater for individual needs)

8. What is the purpose of a 'vendor file'?

A vendor file is simply a collection of information (prices, products sold, Terms of Trade, contact details) relating to a supplier.

- Price mapping
- Sourcing products when a regular supplier is unable to supply
- Planning future menu items
- Keeping up-to-date with industry products, new releases etc.

9. What is an 'economic order quantity, and how might you determine what it is for a given stock item?

This means some products will have time and effort spent on them to determine what is the ideal amount to purchase. This may be the case when the supplier is offering attractive terms of trade perhaps relating to discounts on a bulk order.

10. What is 'open market buying'?

This an unstructured approach where you shop around for price and quality and make the final decision to buy based on what applies at the time.

11. Identify the various ordering systems used to place orders with suppliers.

- Standing orders
- Standing requisitions
- Purchase orders
- Telephone orders
- On-line ordering
- Face-to-face lodgement.

12. When receiving deliveries the term 'outstanding' may be used. What does this refer to?

Items that have not been delivered, due to the supplier not having them in stock, will be or should be listed on the accompanying paperwork as 'Outstanding'.

13. What QA tests may be conducted on received goods?

Where a genuine quality assurance system is in place, QA 'tests' can include:

- Weighing pre-cut steaks
- Testing fat content
- Physically testing a (new) product
- Yield tests
- Taste testing
- Reconstituting tests
- Checking 'counts'
- Checking grade and quality.

14. What should be the procedure for any chemicals that come in damaged or not labeled?

All chemical containers – bottles, plastic containers, packets or drums – that are either damaged or not labelled must not be accepted under any circumstances: accepting these items poses potential OSH issues and is a dangerous and totally unacceptable workplace practice.

15. Why is it standard procedure that all goods be checked?

To ensure that the goods delivered are suitable to use or sell.

16. What does your signature on a delivery docket verify?

Your signature on a delivery docket verifies that the items have been delivered in total and in a satisfactory condition.

17. What is a 'broken carton' and why do many businesses refuse to allow them in their stores areas?

A 'broken carton' is a carton that has been opened and has had some items removed from it.

18. What are examples of 'storage units'?

Storage units may include:

- Shelves
- Bins
- Specially provided storage containers
- Fridges.

19. When updating data what details would need to be entered?

- Deliveries into the system - quantities and dates
- Stock that has been issued or transferred to departments
- Returns to suppliers
- Stock that has been damaged or has to be discarded.

20. What are some ways to increase stock security?

- Implementing an access system to storage areas
- Securing high-cost items, e.g., fitting liquor cabinets with locks
- Ensuring that door seals are intact
- Ensuring the issuing of stock is authorised
- Move all deliveries promptly from the goods receiving area to the appropriate storage area
- Secure the delivery area to prevent unauthorised access. Close and lock doors, and shutters while you are absent from the area.

21. An internal Requisition may also be known as what?

This may also be referred to as an Internal Transfer or Inter-departmental stock transfer.

22. What document is required to be completed for stock to be issued?

A requisition – or requisition form – is filled in by a department requesting stock from the central stores.

23. Why are Par Stock levels established?

Par stock levels are established for certain items to minimise inventory levels but to also ensure the establishment never runs out of stock of any of these essential items.

24. Why is there a need to track inventory?

- Excess money is not tied up in stock
- You never run out of items/stock you need
- Stock is used before it reaches its 'Use By' or 'Best Before' date
- Fast- and slow-moving lines can be identified
- The financial performance of departments/revenue centres and the establishment can be calculated.

25. During a physical stock-take, one person 'calls' and one person 'writes': explain.

Stock takes are usually done using two people:

- One person 'calls' – that is, they count the stock and call out the totals
- The other person 'writes' – they enter the called figures onto the stock-take sheet.

26. Who might need to be notified about fast and slow-moving items?

You may be required to notify:

- Management
- Department heads.

27. What are common causes of problems relating to stock waste management?

The most common causes of such loss problems are:

- Failure to rotate stock as required
- Lack of scheduled inspections
- Failure by staff to record spillages or breakages
- Failure by staff to document and follow-up on items returned to suppliers for credit
- A lack of training
- A lack of supervision
- A lack of time to undertake stock control activities.

28. In what ways could you 'fine tune' the stock control system?

It may be possible to fine-tune the present system (rather than replacing it) by:

- Providing refresher training to staff in its use
- Modifying small sections of the system which have been identified as problematic
- Allocating more resources to the system
- Ensuring existing protocols are, in fact, being adhered to.

Observation checklist

Student name	
Assessor name	
Location/venue	
Unit of competency	Manage stock purchases and inventory D1.HML.CL10.09 D2.HGE.CL7.06 D1.HGA.CL6.09 D1.HRM.CL9.12 D2.TGA.CL6.04 D2.TRM.CL9.08
Dates of observation	
Instructions	- Over a period of time observe the student completing each of the following tasks: - Identify the need for stock control and management - Develop and operate a purchasing and/or supply system - Develop and implement stock receipt procedures - Develop and implement stock storage systems - Develop and implement stock issuing systems - Develop and implement stock management systems - Enter the date on which the tasks were undertaken - Place a tick in the box to show they completed each aspect of the task to the standard expected in the enterprise - Complete the feedback sections of the form, if required.

Did the candidate	Yes	No
Element 1: Identify the need for stock control and management		
Identify the internal requirements for the stock control and management system	☐	☐
Describe the stock items to be covered and controlled by the stock control and management system	☐	☐
Identify personnel with stock control and management duties	☐	☐
Describe the steps in the stock control cycle	☐	☐
Identify and describe the role of documentation within the stock control and management process	☐	☐
Develop product knowledge in relation to stock items that will be used	☐	☐

Did the candidate	Yes	No
Element 2: Develop and operate a purchasing and/or supply system		
Identify and differentiate between potential suppliers	☐	☐
Select suppliers based on nominated internal requirements	☐	☐
Determine purchasing and supply requirements that will guide demand	☐	☐
Determine terms of purchase that may apply to the purchase of stock items	☐	☐
Implement ordering system using identified suppliers	☐	☐
Element 3: Develop and implement stock receipt procedures		
Monitor in-coming deliveries and stock	☐	☐
Inspect incoming stock	☐	☐
Return unwanted or damaged stock	☐	☐
Reject unsuitable stock	☐	☐
Complete appropriate delivery documentation	☐	☐
Element 4: Develop and implement stock storage systems		
Create appropriate storage conditions for all stock that needs to be stored	☐	☐
Store stock according to required storage conditions	☐	☐
Enter stock data into the internal stock system	☐	☐
Secure stock and protect it from damage, deterioration and unauthorised access	☐	☐
Element 5: Develop and implement stock issuing systems		
Identify the basis on which stock will be issued or distributed internally	☐	☐
Develop documentation to support the issuing of stock	☐	☐
Manage stock distribution within the premises	☐	☐
Track and record the movement of stock within the enterprise	☐	☐

Did the candidate	Yes	No
Element 6: Develop and implement stock management systems		
Create and implement stock taking systems	☐	☐
Create and implement stock valuation systems	☐	☐
Create and implement stock reporting systems	☐	☐
Make recommendations to improve the operation of the existing stock system	☐	☐
Did the student's overall performance meet the standard?	☐	☐

Feedback to student and trainer/assessor

Strengths:

Improvements needed:

General comments:

Candidate signature

Date

Assessor signature

Date

Third Party Statement

Student name:			
Name of third party:		Contact no:	
Relationship to student:	☐ Employer ☐ Supervisor ☐ Colleague ☐ Other <i>Please specify: _____</i> <i>Please do not complete the form if you are a relative, close friend or have a conflict of interest]</i>		
Unit of competency:	Manage stock purchases and inventory D1.HML.CL10.09 D2.HGE.CL7.06 D1.HGA.CL6.09 D1.HRM.CL9.12 D2.TGA.CL6.04 D2.TRM.CL9.08		
The student is being assessed against industry competency standards and we are seeking your support in the judgement of their competence. Please answer these questions as a record of their performance while working with you. Thank you for your time.			
Do you believe the trainee has demonstrated the following skills? <i>(tick the correct response]</i>	Yes	No	Not sure
Is able to identify the need for stock control and management	☐	☐	☐
Is able to develop and operate a purchasing and/or supply system	☐	☐	☐
Is able to develop and implement stock receival procedures	☐	☐	☐
Is able to develop and implement stock storage systems	☐	☐	☐
Is able to develop and implement stock issuing systems	☐	☐	☐
Is able to develop and implement stock management systems	☐	☐	☐

Comments/feedback from Third Party to Trainer/Assessor:

Third party signature:

Date:

Send to:

Competency recording sheet

Name of Student		
Name of Assessor/s		
Unit of Competency	Manage stock purchases and inventory	D1.HML.CL10.09 D2.HGE.CL7.06 D1.HGA.CL6.09 D1.HRM.CL9.12 D2.TGA.CL6.04 D2.TRM.CL9.08
Date assessment commenced		
Date assessment finalised		
Assessment decision	Pass Competent / Not Yet Competent (Circle one)	
Follow up action required (Insert additional work and assessment required to achieve competency)		
Comments/observations by assessor/s		

Place a tick (✓) in the column to reflect evidence obtained to determine Competency of the student for each Performance Criteria.

Element & Performance Criteria	Observation of skills	3rd Party Statement	Oral Questions	Written Questions	Work Projects	Other
Element 1: Identify the need for stock control and management						
Identify the internal requirements for the stock control and management system						
Describe the stock items to be covered and controlled by the stock control and management system						
Identify personnel with stock control and management duties						
Describe the steps in the stock control cycle						
Identify and describe the role of documentation within the stock control and management process						
Develop product knowledge in relation to stock items that will be used						

Element & Performance Criteria	Observation of skills	3rd Party Statement	Oral Questions	Written Questions	Work Projects	Other
Element 2: Develop and operate a purchasing and/or supply system						
Identify and differentiate between potential suppliers						
Select suppliers based on nominated internal requirements						
Determine purchasing and supply requirements that will guide demand						
Determine terms of purchase that may apply to the purchase of stock items						
Implement ordering system using identified suppliers						
Element 3: Develop and implement stock receipt procedures						
Monitor in-coming deliveries and stock						
Inspect incoming stock						
Return unwanted or damaged stock						
Reject unsuitable stock						
Complete appropriate delivery documentation						

Element & Performance Criteria	Observation of skills	3rd Party Statement	Oral Questions	Written Questions	Work Projects	Other
Element 4: Develop and implement stock storage systems						
Create appropriate storage conditions for all stock that needs to be stored						
Store stock according to required storage conditions						
Enter stock data into the internal stock system						
Secure stock and protect it from damage, deterioration and unauthorised access						
Element 5: Develop and implement stock issuing systems						
Identify the basis on which stock will be issued or distributed internally						
Develop documentation to support the issuing of stock						
Manage stock distribution within the premises						
Track and record the movement of stock within the enterprise						

Element & Performance Criteria	Observation of skills	3rd Party Statement	Oral Questions	Written Questions	Work Projects	Other
Element 6: Develop and implement stock management systems						
Create and implement stock taking systems						
Create and implement stock valuation systems						
Create and implement stock reporting systems						
Make recommendations to improve the operation of the existing stock system						
Candidate signature:			Date:			
Assessor signature:			Date:			

